For a higher success rate, cut the height in half and add it to the price at E. The stock should reach the target 81% of the time, but if you were to sell there, you'd earn less profit than if you sold at the full-height target.

Once you know the location of the target, convert the distance into a percentage of the price and see if Table 58.3 makes you gasp. For example, if the target is $5 away in a scallop with a $50 current price, that's a 10% move. Table 58.3 says that in bear markets 21% of scallops will fail to see price rise 10%. So you have a 79% chance of the price making at least 10%.

Search for nearby support and resistance. Underlying support protects your position in case the trade goes wrong. If price closes below the right pattern low, sell (below point B in Figure 58.6). The Sample Trade discusses trendline support, but you should also look for other types of support.

Overhead resistance is one of the main reasons I avoid a trade. If there is a solid block of price forming a ceiling on the trade, I will look for another situation with better prospects. In diving board or cloud bank patterns, however, overhead resistance becomes the target because it's often far above the current price.

Wait for confirmation. Always wait for the pattern to become valid. That happens when price closes above the pattern's high, and that is also the buy signal.

Stop location. Table 58.7 shows how often price snags a stop-loss order on the way to finding the ultimate high. After price reaches the ultimate high, you're on your own.

Series height and width. Figures 58.3 and 58.5 show examples of how scallops get narrower and shorter as they appear in a rising price trend. These changes are not true of all inverted scallops in a single uptrend, but beware of investing in a narrow or short scallop because it may signal a coming trend change.

Sample Trade

Robert looked at the chart shown as **Figure 58.6** and liked the stock's rising price trend that started in April. He watched the first scallop form in